

tieship. Not that big companies are sure protection either: IBM is the prime example of the past decade. At one point its stock was in such a free fall that I was waiting for IBM to become a small-cap stock. Trouble lurks everywhere.

But you can't make any money without taking risks. Usually, the greater the risk, the greater the opportunity. Which only seems just: the daring deserve a chance at a bigger prize. The greater-risk-is-needed-to-bring-greater-reward theory has been verified in university laboratories. The so-called Capital Asset Pricing Model that has dominated academic theory about stock prices states that you can earn above-market returns only if you assume greater-than-market risk. Two portfolios of equal riskiness would be expected to bring the same returns.

But there is one major exception (the professors prefer the word "anomaly"). Rolf Banz, a professor at the University of Chicago who has published a number of papers examining the behavior of small-company stock prices, has found that companies with the smallest market capitalization have provided a better-than-average return not only in terms of higher absolute percentage gains but *even after adjusting for their greater risk.*

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Big companies have returned 10.5 percent a year, on average, while small companies have returned 12.5 percent. Moreover, small companies outperform large companies *even after adjusting for their greater risk.*

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Still, if you gather small-caps, you're always going to have some bad ones in your basket. I've certainly had my share of stocks that kissed the buzz saw. I think with particular pain of Coleco, which fell from 65 to 12 when it introduced a computer that bombed.